Loan sale / transfer memo

Reference	**LP-TRF-L047-W33**	Date	**2026-11-07 (data as of 2023-01-18, week 33)**
To	**Credit Committee and Treasury**	From	**Credit Risk, Banco Demo (fictional)**
Borrower	**Granja San Pedro S.A. (F045)**	Loan	**L047 · Crop input loan · $180,000**

Proposal to sell or transfer loan L047 ($180,000 outstanding) to a third party at an indicative price of $168,625 to $163,192 (base to adverse expected loss).

1. Why transfer

- Climate stress: level Severe (score 100), expected yield -34% vs normal; Stage 2 (critical climate alert (level Severe)).
- Region concentration: Buenos Aires · Norte holds $3,662,000 (11.9% of the book), of which $2,247,000 (61%) is High/Severe. Crop concentration: maize is 33.7% of the book.
- The loan sits in a spatial cluster of 16 stressed loans ($2,247,000, mean score 68, radius 108 km): a regional shock hits them together.
- Weak recovery: collateral warrant on grain $184,600 against EAD $180,000; insurance: parametric covering drought.

2. Provisions and indicative price

Basis	ECL (USD)	Expected loss rate	Indicative price = EAD x (1 - rate)
Bank baseline	$7,351	4.1%	$172,649
Climate: base	$11,375	6.3%	$168,625
Climate: adverse	$16,808	9.3%	$163,192
Climate: severe	$16,808	9.3%	$163,192
Climate: weighted	**$13,548**	**7.5%**	**$166,452**

Price range for negotiation: $163,192 (adverse) to $168,625 (base), i.e. 90.7% to 93.7% of outstanding. A buyer will also require a return on capital and servicing costs, so offers below this range should be expected; the model gives the expected-loss floor, not a market price.

3. Transfer terms

Outstanding principal	**$180,000**	Rate / maturity	**10.40% / 17 Apr 2023**
Collateral	**warrant on grain, $184,600**	Insurance assignment	**policy proceeds to be assigned to the buyer**
Borrower notification	**required before transfer**	Effect on book	**EAD -$180,000; climate-weighted ECL -$13,548**
Loss on sale	**$13,548 at the weighted rate (price $166,452)**		

4. Transfer checklist

☐ Credit Committee approval of the sale and of the minimum acceptable price.

- ☐ Legal review: assignability clause, borrower notification, data-protection consent for sharing borrower data.
- ☐ Collateral (warrant on grain) assignment registered in the name of the buyer.
- ☐ Assignment of insurance proceeds to the buyer.
- ☐ Data room: payment history, schedule, climate evidence extract (loan memo), latest field declaration.
- ☐ Derecognition test (IFRS 9 3.2) and accounting entry agreed with Finance.
- ☐ Regulatory notification (central bank debtor classification update) if required.

5. Alternatives considered

Restructuring (extend to next harvest) and offering parametric cover next season keep the client but leave the exposure in the book; they are preferred when the collateral is land-based and the borrower is cooperative.

6. Approval and sign-off

Role	Decision	Name	Signature	Date
Credit officer (preparer)	☐ Approve ☐ Reject			
Credit Committee	☐ Approve ☐ Reject			
Treasury	☐ Approve ☐ Reject			